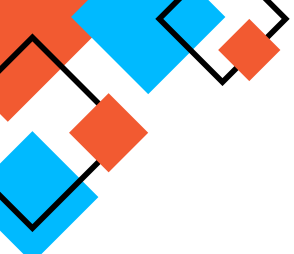
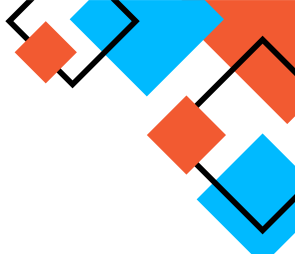




FORGE & FLOW
BUSINESS
PLAN



Our Story



Forge & Flow is a forward thinking software company designed specifically for the restaurant industry, merging technology and industry expertise to create a unique KPI dashboard and learning center. This software seamlessly integrates with existing POS systems and other technology solutions, such as reservation and scheduling apps. By harnessing 60 days of data, Forge & Flow calculates benchmark targets that empower operators to make informed, proactive decisions. This approach shifts the focus from instinct-driven choices to data-backed strategies, enhancing operational efficiency and improving overall guest experiences.

One of the most pressing challenges restaurant operators face is the cycle of reactive decision-making, particularly in managing labor costs. Traditional methods of assessing labor percentage often leave operators grappling with hindsight; they may only recognize that they've exceeded their targets after the fact, leading to rushed decisions that can compromise both staff morale and guest satisfaction. These conventional metrics provide just a fleeting glimpse of performance, neglecting to uncover the underlying causes that drive labor costs.

What sets Forge & Flow apart is its commitment to empowering restaurant operators with real-time insights that encourage a proactive approach to management. By providing comprehensive visibility into not just labor percentages, but also the myriad factors influencing them, operators can engage in more strategic planning and resource allocation. This data-driven framework allows them to meet labor needs while enhancing service quality.

One of the standout features of Forge & Flow is its commitment to staff development through accessible training material. The platform enables operators to provide on-the-fly access to training resources, ensuring that staff can find the information they need when they need it. This streamlines the training process and creates a culture of continuous learning and improvement. By equipping employees with the knowledge and skills to excel, restaurants can elevate their service quality and create memorable guest experiences.

In an industry where every decision can significantly impact both the bottom line and guest satisfaction, Forge & Flow stands as a beacon of innovation. By harnessing the power of data and technology, restaurant operators can move beyond reactive strategies. This transformation leads to improved operational efficiency and a dining environment where guest experiences flourish alongside robust financial performance.



How It Started

Forge & Flow was born out of a pressing challenge faced by our restaurant management team. As we oversaw multiple locations, a common struggle emerged: how could managers effectively be on the floor making critical decisions while simultaneously gathering and analyzing the data required to inform those decisions? The reality was that many were left to rely on gut feelings and educated guesses, leading to inconsistencies in decision-making processes.

One of the more daunting challenges was maintaining labor percentages in alignment with the owners' expectations. Managers frequently found themselves caught in a cycle of burnout, trying to meet unrealistic targets without compromising the quality of the guest experience. The ongoing turnover in restaurant staff became an all-too-familiar pattern, with employees leaving due to feelings of being overworked and underappreciated. As managers devoted themselves to keeping everyone happy, they often neglected their own well-being, leaving them overwhelmed and trapped in a system that felt increasingly unsustainable.

In response to these challenges, we resorted to creating spreadsheets that pulled data from various sources, including payroll, POS, and reservation systems, to calculate the data needed for deeper insight. While these numbers provided some insight into performance and helped identify trends, they often came too late to enact meaningful change and the manual input of data was time-consuming. Recognizing the urgent need for a more efficient solution, we developed a real-time dashboard that empowers managers to access critical information at their fingertips. With this tool, they can easily monitor guest spending, anticipate cover counts, and evaluate team productivity - all in real time. By streamlining access to essential data, Forge & Flow transforms the way our managers operate, enabling them to make informed decisions without sacrificing their presence on the floor or the well-being of their staff.



Our Mission

“Creating innovative solutions that empower restaurant operators to spend more time on the floor and less time in the office.”



At the heart of our mission is a commitment to revolutionize the restaurant industry by providing innovative solutions that allow restaurant operators to reclaim their time on the floor, where they truly excel. Most individuals enter the world of hospitality not to be confined to an office, but to foster relationships, building rapport with guests, and lead their teams in a thriving environment. Unfortunately, as restaurant managers climb the ranks, they often find themselves inundated with paperwork and admin duties, sacrificing the very interactions that invigorate their passion for the industry. We believe that the art of building connections and enhancing dining experiences is where their true talents shine. That's why we are dedicated to developing practical, effective solutions that streamline administrative responsibilities, empowering restaurant operators to focus on what they do best - creating unforgettable experiences for their guests and leading their teams with passion and purpose.

Our Core Values



Passion

Infectious passion building resilience and dedication.



Ownership

Step up and take charge. Anticipate challenges and craft creative solutions.



Knowledge

Continuous learning and growth where curiosity flourishes and collaboration comes naturally.



Innovation

Ongoing improvement and adaptability, sparking creativity and a rich mix of ideas.



FORGE & FLOW



Transparency

Open communication to create a culture of authenticity and integrity.

The Proactive Metrics

Our app generates a suite of proactive metrics that provide unique insights into restaurant operations. Each metric presents a distinct perspective, providing a deeper overview of the operational landscape. By seamlessly integrating with existing technology solutions, our app calculates these critical numbers, offering a comprehensive analysis that no other technology currently provides. With these insights at your fingertips, restaurants can navigate challenges with confidence and optimize their potential like never before.

Covers Per Labor Hour (CPLH): quantifies the number of guests served by staff for each hour worked, enabling managers to optimize staffing levels, minimize waste, and enhance profitability by emphasizing actual output rather than labor cost percentages. This metric provides a more accurate measure of operational efficiency, as it reflects variations in guest flow and assists in identifying whether staffing is adequate during peak and slow periods.

Sales Per Labor Hour (SPLH): measures the revenue generated by your staff for each hour worked, calculated by dividing total sales by total labor hours. This metric helps managers identify potential overstaffing or understaffing situations and is a tool for optimizing staffing levels and controlling costs, ultimately guiding more informed scheduling decisions to enhance profitability.

Per Person Average (PPA): also known as AGC - Average Guest Check - metric for restaurant managers, allowing them to identify sales trends across various shifts and periods, and highlighting opportunities for improvement such as menu engineering, promotional combo offers, and staff training that can drive profitability by enhancing server performance and ultimately boosting overall revenue without incurring additional guest acquisition costs.

Covers: the number of guests dining in a day and serves as a crucial metric for assessing business volume, seating capacity, and operational efficiency, effectively highlighting how each patron contributes to the overall dining experience.

Blended Wage: reflects the average cost per hour of staff, enabling organizations to assess whether any increases in labor costs are due to overtime, characterized by a higher wage, or a greater presence of higher-paid, skilled staff during specific shifts.

Table Turn Time: Measures the average duration a party occupies a table, from seating to departure, as well as the necessary time for cleaning and resetting the table for the next guests. A faster turn time can significantly enhance a restaurant's ability to increase the number of covers served, thereby boosting overall profitability.

The Importance Of Day Parts

Breaking down restaurant statistics into distinct day parts - lunch, dinner, and late night - provides valuable insights into guest behavior and spending patterns. During lunch, guests typically operate under tighter time constraints, resulting in quicker table turn times and a lower AGC (average guest check). Guests often forgo appetizers and desserts, and alcoholic beverages are less common during this mid-day meal. Consequently, while the average guest check during lunch tends to be lower, the ability to seat more guests within a particular timeframe can offset this, offering a strategic advantage for restaurant operators looking to maximize their operational efficiency during midday service.

Dinner guests tend to indulge in multiple courses and luxury alcohol, contributing to a higher average check despite longer table turn times. Here, the focus is on a more leisurely dining experience, encouraging patrons to savor their meals and engage in conversation. The late-night crowd tends to indulge in a different dining experience, often opting for shared snacks and a greater emphasis on alcohol consumption. By analyzing these day parts individually, restaurant operators can better align their menus, staffing, and marketing strategies with the specific behaviors and expectations of their guests. This targeted approach not only enhances the dining experience but also ensures that revenue numbers remain aligned with guest behavior, ultimately driving better business outcomes.



Tab Overview

SHIFT

Under the Shift tab, managers can access a comprehensive overview of live data for the day, enabling informed decision-making at a glance. This feature allows them to monitor crucial metrics such as the number of covers that have come in versus those still expected, current daily sales alongside forecasted figures, and the per person average (PPA) compared to the targeted PPA. Additionally, managers can evaluate Covers Per Labour Hour (CPLH) and Sales Per Labour Hour (SPLH) against their respective targets, while also reviewing the blended wage that reflects the average hourly rate of the staff on duty. With this instant snapshot of performance data, managers gain valuable insights into the business's standing and can proactively address any discrepancies, ensuring they operate with real numbers rather than relying on instinct alone. Adopting a data-driven approach enhances the alignment of daily operations with forecasts, while simultaneously refining efforts to meet key performance indicators effectively.

VARIANCE

The variance tab serves as a vital tool for management by providing a clear comparison between theoretical or baseline expectations and actual performance across key performance indicators (KPIs). This comparison highlights the variance, which represents the gap between what should have happened and what actually occurred. By delving into these variances, management can uncover opportunities for improvement, as each discrepancy signals a potential area for corrective action. Understanding this gap is crucial, as it not only indicates where things may have gone awry but also invites teams to explore the underlying factors contributing to the performance shift.

To effectively address these variances, managers can examine specific metrics such as Covers, Per Person Average, and the number of hours utilized in both the front of house and back of house operations, along with the blended wage. Each of these elements offers insights into the operational nuances that may be impacting overall performance. It's important to recognize that each cause of variance may require a different solution; mistakenly treating them all as mere labor issues can lead to misguided decisions and the cutting of essential resources. By taking a detailed, analytical approach to evaluating these variances, management can implement targeted strategies that truly address the root causes and ultimately enhance overall efficiency and performance.

The variance tab not only provides a comprehensive overview of your current metrics but also features a history tab for tracking past data and a learn tab that offers valuable feedback on persistent leaks and repeatable wins, empowering users to make informed decisions for improvement.

PLAN

Under the "Plan" tab, users can access their comprehensive weekly plan, which provides a detailed forecast for each day of the week. These forecasts are meticulously crafted by analyzing 60 days of data from the Point of Sale (POS) system, while also considering various factors that may impact guest covers, such as existing reservations. The forecasting tool goes beyond traditional methods by not only assessing historical data but also by taking into account current trends and expected guest attendance. By calculating the Per Person Average (PPA) from the past two months and pairing it with anticipated guest numbers, the system generates accurate sales forecasts. Additionally, the start day of the week is customizable, allowing clients to tailor their planning based on what best fits their operational rhythms and preferences.

At the bottom of the weekly plan, users can view the cumulative total for the week, including real-time performance against forecasts. This feature offers insights into how the current week is progressing compared to projections and indicates what sales figures could look like if the current trajectory continues. Furthermore, users can navigate to a dedicated tab showcasing historical data from previous weeks, enabling them to identify patterns and make informed adjustments to their strategies as necessary.

BENCHMARK

Under your benchmark tab, you will find a clear benchmark for each Key Performance Indicator (KPI), providing you with a reliable baseline of data to guide your operational decisions. This baseline is established by pulling in 60 days' worth of data from your Point of Sale (POS) system, ensuring that your performance metrics are grounded in recent, relevant trends. Every 60 days, your targets will shift, allowing for adjustments that take into account various factors such as optimization efforts, seasonal fluctuations, and even changes in weather conditions. This structured approach enables you to maintain a consistent set of KPIs over a two-month period, minimizing the potential for confusion or volatility that can arise from constantly shifting targets.

Additionally, managers have the flexibility to override these targets once, should unique circumstances arise that could distort normal performance metrics, such as a sudden change in market conditions or unforeseen operational challenges. This singular adjustment allows for necessary flexibility while maintaining the integrity of the data. By restricting the number of alterations, the system fosters a more realistic representation of results, minimizing the potential for skewed data that could lead to misguided decisions. This balance of adaptability and consistency ensures that your team can respond effectively to emerging challenges while remaining grounded in reliable, actionable insights.

Learning Management

Learning Management Systems (LMS) have revolutionized the way operators train their staff, providing a structured and efficient alternative to traditional training methods. With features that allow for the creation of customized training materials, testing and scoring capabilities, and the automatic assignment of learning modules, LMS platforms not only streamline the training process but also allow operators to track staff progress in real-time. This enhanced visibility into employee development is crucial for ensuring that team members acquire the essential skills and knowledge necessary for success. However, the financial commitment required for these systems can be a significant hurdle, with costs ranging from \$400 to \$3,000 per month for a restaurant employing around 50 staff. Given the multitude of technology solutions that operators must integrate to maintain competitiveness, investing in comprehensive training often falls by the wayside.

The consequences of inadequate training can be detrimental, with many establishments rely on the informal transfer of knowledge from one employee to another, which may not always be comprehensive or accurate. This reliance can result in poorly trained employees who lack the essential information and skills required for their roles, ultimately impacting the overall performance of the restaurant. Acknowledging this challenge, we have integrated an LMS into our app, providing staff with easy access to training materials, handbooks, and assessments.

As employees engage with this content, they receive scores reflecting their understanding and retention of the material relevant to their position. Managers can effortlessly track the progress of each team member within the same app they use to monitor key performance indicators (KPIs), ensuring that training and operational efficiency go hand-in-hand.

Standard Operating Procedures (SOPs) are essential for ensuring that tasks within a restaurant are completed accurately and consistently, establishing a reliable standard for all operating practices. Our app conveniently stores these SOPs, making them easily accessible to all staff members, who can use them as a quick reference tool for their duties. Instead of sifting through cumbersome binders, manuals, or relying on guesswork, staff now have all necessary SOPs at their fingertips, significantly reducing uncertainty around procedures. This accessibility empowers staff to execute their tasks with confidence and enables restaurants to standardize their operations.

Chat Bots And Agents

Our app features a user-friendly chat bubble that floats seamlessly on the home screen of each location, providing staff with an intuitive way to tap into the restaurant's training content and operational data. Employees can easily ask questions, such as "Why is my PPA so low?" and receive tailored answers derived from the restaurant's specific training content and operational data. By leveraging the wealth of information that exists within the restaurant's ecosystem, the app empowers staff to make informed decisions and improve performance, creating a more knowledgeable and efficient workplace. For managers, the app expands its functionality with a specialized version that comes equipped with advanced permissions designed to assist in complex tasks such as automating P&L summaries, clarifying variances, and drafting employment-related letters.

Unlike standard AI systems that isolate data into disconnected fragments, our app creates a connected web of relationships. This structure links shifts to managers, managers to locations, locations to labor, labour to baselines, and baselines to methodologies and training materials. As a result, the app learns and evolves like a human being, synthesizing information to provide nuanced, informed answers rather than simple keyword matches. This holistic approach not only enhances the app's intelligence but also enriches the user experience, making valuable insights readily accessible and relevant to each user's specific context.

